

Anti-Liberacionismo: The Rise and Fall of Rodrigo Carazo Odio

Abstract

Rodrigo Carazo Odio's resounding victory, in Costa Rica's 1978 Presidential election, as the leader of the anti-liberacionismo movement, and a staunch anti-corruption crusader, led voters to think that an alternative to the political dynasty of the National Liberation Party was possible. This belief did not last for long, the Unity Coalition's lack of horizontal coordination made it impossible for President Carazo Odio to pass legislation that would tackle the most pressing issues the country was facing due to the rise in oil prices, and fall of coffee prices of the late 1970s. Additionally, because the government coalition was unable to solve these pressing issues that threatened a larger crisis, the President started taking increasingly desperate measures, going as far as making unconstitutional use of the Executive—in turn magnifying voters' perception that Costa Rica's elite benefitted unequally, further eroding the Central American nation's democracy.

Introduction

In December 1980, Costa Rica's economic situation had been deteriorating for almost two consecutive years. Costa Rica's current account deficit¹ rose from \$558.2 million USD in 1979 to \$653.4 million USD in 1980, and the country also saw 17.79% inflation for that year (Rivera 1984). These numbers had worsened since President Rodrigo Carazo Odio came to power in 1978 due to rising oil prices, which made exports more expensive—resulting in lower coffee prices. In an attempt to combat the economic crisis, on December 26th 1980, President Carazo Odio and the Central Bank agreed to let the Costa Rican Colon's (₡ CRC) exchange rate with respect to the United States Dollar (\$ USD) float, effectively eliminating the ₡8.60 per USD exchange rate peg. This new policy was a condition imposed by the International Monetary

¹ This means Costa Rica was a net borrower, with a nearly \$100 million in net foreign capital transfers

Fund (IMF) to loan the Central Government \$90M USD to continue its operations, and refinance existing foreign debt (La Nacion 2023) & (Rivera 1984). However, the only governmental branch that could legally change the value of the CRC was the National Assembly, so on July 9th 1981 the Costa Rican Supreme Court of Justice declared the decision unconstitutional, and, consequently, the IMF halted all disbursements of the loan agreement, since their condition was not met (Rivera 1984) & (La Prensa Libre 1981). Seven days after the Supreme Court's decision, President Carazo Odio decided to institute a total ban on government officials from providing information about internal dissidence of policy, especially monetary policy after the public disaster that stemmed from the unconstitutional decision to let the exchange rate float (Marchena 2022).

Due to Costa Rica's rapidly diminishing state capacity, President Carazo Odio was forced to seek other ways to prevent the Costa Rican economy from collapsing, and restarted negotiations with the IMF. The Fund's requests to President Carazo Odio included closing public hospitals, schools, and other related social programs. The President opposed the additional structural reforms demanded by the IMF for this new bailout loan, and on January 7th 1982, President Carazo Odio decided to unilaterally place a moratorium on debt repayments to the IMF, a decision which spiraled the Costa Rican economy to total collapse. On March 29th 1982, just 40 days before the end of his presidency, he said of the encounter: "It is clear to me that the IMF is not interested in the health of the people... [They do not] dialogue, [they] impose" (La Nacion, 2023). The President believed that the IMF was infringing on national sovereignty, and chose instead to rely on Costa Rica's fragile state capacity. The Unity Coalition (CU)—formed by four ideologically different political parties whose only shared value was their opposition to the National Liberation Party (PLN)—had served as the electoral vehicle that led Rodrigo Carazo

Odio to victory in 1978 with 52% of votes, and a 10% margin of victory over second place PLN (La Republica 1978) & (Hernandez 2005). The rise of President Carazo Odio as a populist figure that represented the opposition to the corruption in the PLN was celebrated by many, but this attitude did not last for long, instead pointing us to the two explanatory contexts needed to understand the rise, and eventual fall of *Anti-liberacionismo* as a movement. First, the lack of horizontal coordination amongst the CU's elected officials after the election of 1978 disrupted the ability of the President to enact policy that could solve the crisis, exacerbating the negative effects of it nationally. Second, the administration's inability to solve the issues the country faced, leading to the unconstitutional use of power by President Carazo Odio increased uncertainty for citizens and investors alike. The failures of Carazo Odio's Anti-liberacionismo, opened the door for the elites to undermine the administration, in turn aggravating citizen's beliefs that elites benefitted unequally in Costa Rica, eroding democratic beliefs in the country.

Explanatory Context #1

After an election, horizontal coordination is defined as “the way in which the elected officeholders of a party coordinate their actions and act cohesively when voting in congress and making decisions in the executive branch of government” (Munck & Luna, 2022, p. 239). Signs of concern existed from the moment the campaign started, since the parties that formed the coalition did not agree on what needed to be done about the national government's expenditures. Some members of the coalition, such as Rodrigo Carazo Odio, described themselves as social democrats, and thus saw the need for the government to intervene in markets to protect citizens, but other large factions within the coalition self described themselves as conservatives, liberals, and *calderonistas*², who supported the privatization of many government ventures, such as

² Supporters of the 1940s movement led by former President Rafael Angel Calderon Guardia. The movement was led in 1978 by his son Rafael Angel Calderon Fournier.

CODESA³. These ideologies are evidently incompatible with one another, consequently, this made it nearly impossible for members to reach consensus with one another. Members of the same political parties within the coalition would caucus together in the National Assembly's floor, but never with other members of the coalition who did not share their specific party affiliation. This lack of coordination and dialogue between them led to the Unity Coalition's congressmembers to only vote together, as a bloc, in one occasion between 1978 and 1982 (Wilson, 1998).

The population of the country, during the Carazo Odio administration, was subjected to four years of continued inflationary growth, which went from just 6% in 1978, to 90.2% in 1982 (the highest inflation in a single year on the World Bank's dataset); growing unemployment, which quickly grew from 5.9% in 1980 to 8.7% in 1981; and blatant clientelism, since the elites were looking to maintain the ₡8.60 CRC per USD exchange rate only for specific industries (such as coffee), while the general population was subjected to rates as high as ₡60 CRC per USD that the private banks and the market set (World Bank 2025a), (Marchena 2022), (Rivera 1984) & (La Nacion 2018). The previously mentioned economic markers of the time highlighted the lack of representation that democracy in Costa Rica was suffering. Citizens had voted in 1978 based on their approval—or lack thereof—of the previous PLN administrations. The lack of programmatic messaging that the coalition had, allowed voters to see how different factions of the coalition found ways to benefit the elite economic powers of the country, but could not find money for other social services which were becoming overwhelmed with the increase in people looking for welfare services. This type of elite privilege in policy debates is a key characteristic

³ The Costa Rican Corporation for Development (CODESA) was the government's holding corporation that contained ventures such as the administration of the national railways, fertilizer production, and oil refining.

of democracies where parties with weak horizontal coordination are found, “and such a democracy is bound to disappoint.” (Munck & Luna 2022, p. 242).

Disappointment in the country’s democracy is—most likely—what led voters to reject the coalition in the 1982 elections, where the Unity Coalition lost 22.5% of the votes they received in 1978, and kept the PLN in firm control of the government until 1990—this meant that the establishment that had been characterized as corrupt by voters in 1978, won four out of the five elections between 1970 and 1986, a possible sign that voters primary preferences were not being met (PDBA 2007). The crisis of the Carazo Odio administration, deeply affected Costa Rica’s state development projects, the highly unnecessary negative effects stemming from opportunistic infighting by the elite coalitions, made it so it took the country 34 years to recover the public social investment per person it had in 1980 (La Nacion 2018). The effects of this were felt by the poorest citizens, while the elites remained largely unaffected thereafter.

Explanatory Context #2

As the government got more desperate to find immediate solutions to the policy failures they kept running into, they tried even more desperate tactics that only made markets, and the general public, more wary of the administration. The use of unconstitutional powers stemmed from the government’s perceived lack of alternatives to satisfying the demands that the International Monetary Fund was setting for them to receive the much needed bailout loans. Before they attempted to get rid of the exchange rate peg, the administration of Rodrigo Carazo Odio had tried to reform taxation laws in ways that the most important economic sectors would be the largest contributors. A proposed 8% tax on profits from real estate sales, and 1% land value tax faced immediate rejection, and stonewalling, from some sectors of the coalition and the PLN, which were staunch defenders of the business sector’s interest. This proposed tax reform

was the Carazo Odio administration's attempt to find additional funds for government expenditures while avoiding negotiations with the IMF. The institution had previously hinted at the need for the government to pass a tax reform, but the idea that had been suggested targeted sales and consumption, which would have triggered social unrest, something that President Carazo Odio wanted to avoid at all costs (Rivera 1984).

As the President kept running out of money, and options to obtain more funds, he decided to open conversations with the IMF. These conversations did not advance fast enough, which led the government to seek other ways to raise funds, such as cutting privileges to importing businesses. The government had been exchanging foreign currency at the peg for 100% of the funds solicited by importers to conduct business, but the new policy halved it, and told importers that they would have to pay the market exchange rate for the other half of their foreign currency needs. Additionally, the Carazo Odio administration also raised interest rates for the acquisition of some goods. These policies, however, were against impositions made by the IMF in earlier conversations held with the administration, since the Fund had strictly forbidden the government from imposing controls on foreign trade, and supporting the coexistence of parallel exchange rates (Rivera 1984)

After exhausting all of the options available to the Executive power, but still in need for more funds, the Administration was forced back to the negotiating table with the IMF. The Fund's latest order was for the Central Bank of Costa Rica to liberalize the exchange rate, an order that although unconstitutional, was the only one left for the government to enact, and on December 26th, 1980, the policy was made official. After the policy change, it still took almost six months for the IMF to finally approve the conditions for the loan. This approval, however, came too late, since the Supreme Court declared the float unconstitutional on July 9th of that

same year, prompting the IMF to abandon the agreement (Rivera 1984). The scandal that this action generated shattered the image of the President as an anti-corruption fighter; unnecessarily affected the livelihoods of those exchanging foreign currency between December and July, devalued the salaries of the working class, and led to a new bipartisan consensus between the Unity Coalition's congressmembers and the PLN, that supported the IMF's impositions, and excluded President Rodrigo Carazo Odio from these dialogues (Marchena 2022). The elites officially succeeded in protecting their interests, and for the last 10 months of the Carazo Odio administration, "made the economy scream". The Costa Rican economy saw a decrease in GDP from \$4.83 billion USD in 1980, to just \$2.62 billion USD in 1981, a sign of the distress in which the economy found itself after so many repeated failures (World Bank 2025b). The use of structural power—given to the business sector due to its centrality to economic growth in a capitalist society—to form a bipartisan consensus on neoliberalism, meant that President Carazo Odio had no options left to combat the crisis (Munck & Luna, 2022, p. 534). Even though he denounced the actions of the elites, saying of them earlier that year that "everything seems to indicate that, for the most influential groups in the country, it is more advantageous to preserve their privileges, rather than attacking the root cause of the issue that produces local inflation" (Marchena, 2022), President Carazo Odio had already destroyed his credibility, and inadvertently given free reign to the elites to undermine his opposition to the IMF without his knowledge.

Conclusion

Overall, while it is likely that President Carazo Odio's administration was doomed from the beginning, his own inability to build consensus within his own party, coalition, and other congressional leaders would have made it impossible for his presidency to solve the crisis the country would find itself in. His coalition's lack of interest in programmatic approaches to policy

left the door open for opportunists within the coalition to rise, and defend any threats to the continued dominance of Costa Rica's economic elites, leading the working class to feel the most strain during this crisis. The effects of the economic crisis were also magnified by President Carazo Odio's shortcomings, brewing discontent amongst the working class and the elites against his administration.

The roadblocks that the administration's agenda had to continuously deal with, as a consequence of their own ineffectiveness to build coalitions, led them to unconstitutional actions that only added more fuel to the economic fire that the country had been feeling. The heightening of uncertainty around the perception of the government's ability to repay debtors, and the sincerity of those elected officials, opened the door for opportunists to prey on these failures to advance their own economic and political agendas. The hidden door meetings, and secretive communication that elites used to coordinate, served as a tool to bring the economy to its knees. Furthermore, it cemented the idea in the general public that elected officials only serve themselves, even if it means that the majority of citizens will have to experience inhumane pain to achieve that, further eroding democracy in Costa Rica.

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Note: I did not use LLMs or any form of generative AI for this assignment.